

December 17, 2024

Senator Jeremy Moss
Senate President Pro Tempore
Post Office Box 30036
Lansing, MI 48909

Senator Aric Nesbitt
Senate Republican Leader
Post Office Box 30036
Lansing, MI 48909

RE: HB 4843 – OPPOSE

Dear Members of the Michigan Senate,

The Association of National Advertisers (ANA) and our members write to express our opposition to HB 4843, which seeks to protect consumers regarding contracts with automatic renewal provisions. While ANA strongly supports consumer protection and choice, as written, this bill is overly burdensome, unnecessary and may result in consumers obtaining less information and opportunity to evaluate goods and services.

The bill mandates repeated communications to consumers, placing unnecessary obligations and cost burdens on providers. Multiple disclosures are required, including statements about material facts or terms, increases in fees, and range and frequency of charges. The disclosures specified in the bill are not needed, as it is very unlikely that a consumer would choose to enter into an agreement for goods or services without being told about and understanding the length and terms of the contract. Because most contractors provide this information to permit a consumer to make an informed choice, the prescriptive disclosures mandated in HB 4843 are impractical in some applications, as well as generally repetitive and unnecessary.

By imposing costs on businesses, the bill's specific disclosure requirements could hamper innovation without offering any meaningful benefits to consumers. Providing more information would not necessarily mean that any of the terms would become clearer to consumers. For example, section 3j(2) of HB 4843 requires a semi-annual reminder about a consumer's subscription to a service and that the agreement will remain in effect without further action by the consumer. This is clearly excessive, as the consumer had already indicated a choice to receive the good or service or the reminder just six months earlier. Requiring notifications every six months would create a significant administrative burden for businesses and create complexity for business offering services in Michigan. Frequent notifications could overwhelm consumers, leading to notification fatigue and potentially causing them to be spammed and overlook important information. Obviously, this mandate imposes unneeded costs and paperwork requirements without adding to the consumer's information base.

Additionally, section 3j(1) of the bill requires the use of not less than 14-point type in a contract or contract offer. This obligation should be eliminated, as it is impractical for

mobile devices (where screen space is limited) and businesses should be allowed to adapt their billing practices to various formats and devices so that consumers have a better user experience. Because the bill also gives specific details about the meaning of the term “clear and conspicuous” (section 3j(9)(b)), text that is used will be noticed and understood by consumers without prescribing a specific font size.

Subsection (d) of section 3j(1) (regarding changes in contract terms) should not be retained. It is not clear whether this disclosure requirement applies consistently or only at the outset of the subscription purchase. Additionally, it is not feasible to predict future changes at the time of an initial purchase. As a matter of course, companies often notify customers at renewal with reminders of how to cancel, ensuring they are informed about potential changes; consequently, this mandate is not needed.

The bill also contains requirements regarding free trials or gifts that threaten to undermine the benefits consumers receive from such offerings. Businesses use free trials and gifts for a variety of purposes. For example, such trials or gifts allow potential customers to try out a good or service before committing to purchase it since the absence of a financial commitment enables the consumer to use a good or service and make determinations as to the value of the product. Not having to provide purchasing information in advance also tends to enhance the likelihood that consumers will sign up for a free trial or gift, thereby giving them experience with the product and informing them of their potential purchasing decision. When businesses offer a free trial or gift, that offering demonstrates confidence in their product, and individual consumer assessment of the features and capabilities of the product can lead to a determination as to whether the offered product meets the consumer’s needs. A positive determination can result in consumer loyalty and increased sales while a negative experience with a free trial or gift frees the consumer from having a long-term cost and possession of a product, they have decided they do not want or need. Businesses also can benefit from the feedback provided by recipients of free trials or gifts, resulting in improved products or services. Onerous disclosure requirements will deter the offering of such trials and free gifts.

If provisions regarding free trials or gifts are retained, we suggest specifying that a time limit of 14 days be added to the provisions in section 3j(4)(c). Doing so would provide businesses with a clear timeframe and allow consumers the opportunity to cancel after the end of a free trial.

We believe this bill is simply not necessary. Multiple laws at both the state and federal levels already provide appropriate consumer protection, while allowing consumers to benefit from subscription or purchasing agreements, including the Federal Trade Commission Act, state law prohibiting unfair and deceptive acts and practices, the Restore Online Shoppers’ Confidence Act enforced by the Federal Trade Commission, and the Commission’s recently adopted negative option rule.

Consumers want hassle-free services that do not require them to endure repetitive notices

or to take action at the end of each term. ANA supports strong consumer protection laws and stand ready to work with you as you address these issues. However, in its current form, we believe HB 4843 imposes unnecessary risk to businesses operating in Michigan and could deny consumers the benefits that come with ever-more-popular and convenient automatic renewal services and offerings.

Thank you for your consideration.



Christopher Oswald
Executive Vice President and Head of Law, Ethics, and Government Relations
Association of National Advertisers

ABOUT THE ANA: The ANA (Association of National Advertisers) accelerates growth for marketing professionals, brands, and the entire industry. With a mission to shape the future of marketing, the ANA sets the agenda for the industry, connecting its members to unparalleled expertise, industry-leading resources, and an influential global network. Representing over 1,600 companies — including 1,000+ client-side marketers, 600 marketing solutions providers, and 20,000 brands — ANA members collectively influence \$400 billion in annual marketing spending. By championing the 12-point ANA Growth Agenda and the CMO Growth Council, the ANA drives actionable change, empowers marketers, shapes the marketing ecosystem, and delivers exceptional experiences at every touchpoint. Since 1910, the ANA has been setting the agenda for industry transformation. It enables marketers to advance their ambitions, make better decisions, and create lasting impact for their organizations and the industry.